

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-11

IGOR OVCHINNIKOV, IRINA RZAEVA, and DENIS NEKIPELOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

INFORMAL DOCKET NO.: 1953(I)

KAIRAT NURGAZINOV,

— vs. —

**MICHAEL HITRINOV a/k/a
MICHAEL KHITRINOV,
EMPIRE UNITED LINES CO., INC., and CARCONT, LTD.**

COMPLAINANTS' STATUS REPORT

Complainants herein submit this Status Report to make the Commission aware of changes in status regarding the above captioned matter.

As of the time of this writing there have been several significant developments which have occurred since complainants' last Status Report docketed on January 15, 2017 (Document 142).

The Commission may recall the issue of non-party, Sergey Kapustin ("Kapustin"), who sought, *inter alia* to 1) intervene in this matter; 2) have complainants' counsel 'disqualified' from representing the complainants herein; 3) to strike and/or 'seal' certain filings and documents in this matter; and 4) generally interfere with the orderly and expeditious litigation of this matter.

Complainants' Status Report of January 15, 2017 explained that on December 22, 2016 the United States District Court for the District of New Jersey, by the Honorable Magistrate Judge Mark Falk, signed a criminal Complaint returned by a Federal Grand Jury against Kapustin alleging wire fraud and attempted wire fraud.

Said criminal Complaint specifically tied respondent, Hitrinov to Kapustin in that Kapustin used Hitrinov's company to ship certain vehicles, the purchase and sale of which were the *res gestae* of the criminal Complaint, and that the transactions at issue in said case were the same transactions at issue in the instant case now pending before the Commission.

As of the time of this writing, the Court has issued five (5) Orders to Continue, the most recent of which was issued on January 26, 2018 and is annexed hereto as Appendix "1". Said Order continues Kapustin's case through March 31, 2018 (explaining that a purpose of the continuation is to allow for time to negotiate a plea).

For the reasons stated above, it is reasonably anticipated that Kapustin's plea deal would involve cooperation with the authorities and disclosure of information that may be relevant and necessary for this Commission's Final Decision, which is currently due on March 16, 2018.

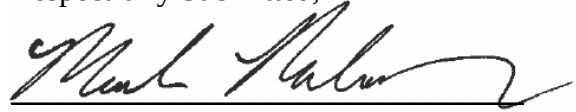
CONCLUSION

Consequently the foregoing, along with the attachments annexed hereto are respectfully submitted as same reflect a 'change in status' of this case with regard to both respondent, Hitrinov and his counsel, as well as to non-party, Kapustin so as to inform the Commission of said change in status as same may reflect upon or be determinative of the Commission's Final Decision, which is currently due on March 16, 2018.

In closing, and as always, complainants thank the Commission for its many continuing courtesies and considerations in this case.

Dated: March 14, 2018
Brooklyn, New York

Respectfully Submitted,

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

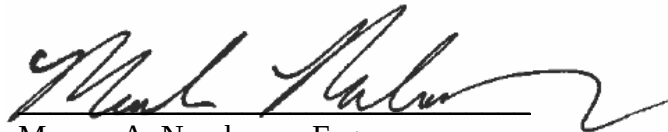
Marcus A. Nussbaum, Esq.
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Brooklyn, NY 11224
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Fax: 347-572-0439
Attorney for Complainants
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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' STATUS REPORT** upon Respondents' Counsel at the following address:

Nixon Peabody LLP
Attn: Eric C. Jeffrey, Esq.
799 9th Street NW, Suite 500
Washington, DC 20001-4501

by first class mail, postage prepaid, and via email (ejeffrey@nixonpeabody.com).

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

Dated: March 14, 2018 in Brooklyn, New York.

APPENDIX “1”

UNITED STATES DISTRICT COURT
DISTRICT OF NEW JERSEY

UNITED STATES OF AMERICA : Hon. Mark Falk
v. : Mag. No. 16-3662
SERGEY KAPUSTIN : CONTINUANCE ORDER

This matter having come before the Court on the application of Craig Carpenito, United States Attorney for the District of New Jersey (by Mary E. Toscano, Assistant U.S. Attorney), with the consent of defendant Sergey Kapustin (by Carol Gillen, Esq., AFD) for an order granting this request for a continuance of the proceedings in the above-captioned matter from the date this Order is signed through March 31, 2018, and where the defendant has previously waived a preliminary hearing, pursuant to Title 18 of the United States Code, Section 3161(c)(1), and,

Where the defendant has the right under 18 U.S.C. § 3161(b) to have the matter presented to a Grand Jury within thirty (30) days of his arrest, and as the defendant has consented to such a continuance, and for good and sufficient cause shown,

IT IS THE FINDING OF THIS COURT that this action should be continued for the following reasons:

- a. The United States and the Defendant seek additional time to

continue plea negotiations, which would render any grand jury proceedings and any subsequent trial of this matter unnecessary;

- b. Defendant has consented to the aforementioned continuance;
- c. The grant of a continuance will likely conserve judicial resources; and
- d. Pursuant to Title 18 of the United States Code, Section 3161(h)(7)(A), the ends of justice served by granting the continuance outweigh the best interests of the public and the Defendant in a speedy trial.

WHEREFORE, on this 26 day of January, 2018,

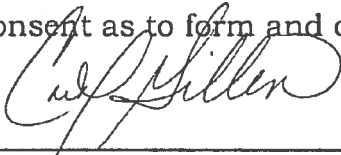
ORDERED that the proceedings in the above-captioned matter are continued from the date this order is signed through and including March 31, 2018.

ORDERED that the period from the date this Order is signed through and including March 31, 2018 shall be excludable in computing time under the Speedy Trial Act of 1974.

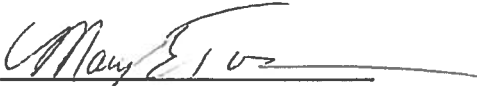


HON. MARK FALK
United States Magistrate Judge

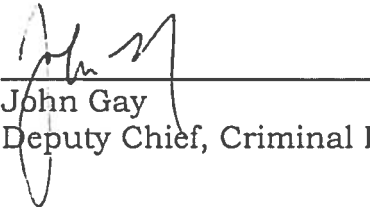
Consent as to form and content:



Carol Gillen, Esq. AFD
Attorney for Sergey Kapustin



Mary E. Toscano
Chief, Organized Crime and Gang Unit



John Gay
Deputy Chief, Criminal Division